

switched to stock buying strategies. Stock market advice began to appear so easy to provide ("buy and hold for the long term") that two of the country's largest mutual fund companies went into the business of giving clients advice on asset allocation. In 1993, the public began pouring its savings into stock, bond and money market mutual funds at the rate of one billion dollars a day. Merrill Lynch's customer assets rose to half a trillion dollars and are still rising. New stocks introduced to the market began rocketing up fifty percent or more on their first trades, fueling the fervor among issuers to create more "product." On September 20, 1993, the S&P futures contract began trading almost around the clock (today it is open all but 9-9:30 a.m. and 4:15-4:45 p.m. EST) weekdays for the first time ever, on the Globex exchange. \$1.5 trillion worth of *new* stocks and bonds were issued worldwide in 1993, an all-time record that was 36% above 1992's all-time record. Fidelity Investments' sector funds reached a level of only 7% cash, a record low that is still in place. The first Russian stock issue of modern times had taken place as wave ⑤ was emerging, in 1988, starting a trend even in the world's bastions of anticapitalism. By March 1994, the stock mania had permeated the world so extensively that citizens of the People's Republic of China were lining up by the thousands at banks in Beijing to buy shares in four of the city's Communist government-owned enterprises. In four short years from 1991 to today, the number of brokerage firms has *doubled* in the United States, from 29,000 to 58,000.

According to a poll from June 1994, *ninety-one percent* of the wealthiest 1% of the U.S. population regard a stock market crash as unlikely. Brokers relate stories of clients who are deciding to start investment clubs, or who suddenly put all their retirement money into stock mutual funds after previously owning only government bonds. On financial television, the ratio of bulls to bears being interviewed is about 100 to 1. "Never," comments an *Elliott Wave Theorist* subscriber, "have I seen the Schwab office so crowded." "*Barron's*," reports another subscriber, "is selling out at my local convenience store every Saturday in a few hours." In a reflection of the widespread public acceptance of the idea of investing (as opposed to saving), banks now offer customers the option of buying and selling mutual funds at their automatic teller machines. In the past four years, the success of *Money* magazine has spawned three competitors: *Worth*, *Smart Money*, and now *Mutual Funds*, which is devoted entirely to that one subject. You could not have given